



Figure 16.4 Susan decided to trade this bearish butterfly.

The butterfly is at XABCD on the chart. She didn't care to short the stock at D. She's not that experienced, and the profit potential wasn't appealing to her anyway. How did she weigh the profit potential? She used [Table 16.3](#) as guidance and suspected price wouldn't make it down to A (just 24% do).

She watched the stock drop from D to break out downward at E and coast lower to F. The stock bounced and made a second low, a higher low, in late August.

Then it was off to the races when price climbed and reached G. Why was G important? I asked her. "Because the drop from A [the bottom of the butterfly] to F was less than 10%. A close above the top of the pattern at G busted the downward breakout. Busted patterns can produce outsized gains. But only if Mars is in alignment and it's a full moon." She reached over and rested her hand on my arm. "I'm just kidding about that last part."

Susan bought the stock a day after G and received a fill at the opening price of 39.82.

She didn't have a target in mind. Rather, she wanted to make as much as possible on the trade, preferring to let the stock speak to her. It would let her know when it was time to get out. I know, that didn't make a lot of sense to